LEGISLATURE OF THE STATE OF IDAHO

Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 854

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO THE DEPARTMENT OF FINANCE AND THE DEPARTMENT OF INSURANCE; PROVIDING LEGISLATIVE INTENT; REPEALING SECTION 67-2701, IDAHO CODE, RELATING TO THE DEPARTMENT OF FINANCE CREATION, DIRECTOR, ORGANIZATION, AND POWERS AND DUTIES; AMENDING CHAPTER 27, TITLE 67, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 67-2701, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE DEPARTMENT OF FINANCE AND TO PROVIDE FOR THE DIRECTOR, ORGANIZATION, AND POWERS AND DUTIES; AMENDING SECTION 41-202, IDAHO CODE, TO PROVIDE FOR THE DIRECTOR OF THE DEPARTMENT OF INSURANCE TO SERVE AS THE DIRECTOR OF THE DEPARTMENT OF FINANCE; AMENDING SECTION 41-206, IDAHO CODE, TO PROVIDE THAT THE DIRECTOR MAY UTILIZE OR ADMINISTRATIVELY COMBINE THE DIVISIONS OF FINANCE AND INSURANCE OR EMPLOYEES THEREOF IN ORDER TO ACHIEVE THE DUTIES OF EITHER DEPARTMENT; AMENDING SECTION 26-2412, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE; REPEALING SECTION 28-44-111, IDAHO CODE, RELATING TO COOPERATION BETWEEN DEPARTMENTS; AMENDING SECTION 59-904, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE; AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. LEGISLATIVE INTENT. It is the intent of the Legislature to provide for greater efficiencies between the Department of Finance and the Department of Insurance. To this end, the Legislature hereby establishes that, on and after July 1, 2027, the Director of the Department of Insurance shall concurrently serve as the director of the Department of Finance. The director shall find and implement cross-departmental efficiencies between the Department of Insurance and the Department of Finance in areas that include but are not limited to administrative services, financial and accounting support, and information technology.

SECTION 2. That Section 67-2701, Idaho Code, be, and the same is hereby repealed.

SECTION 3. That Chapter 27, Title 67, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 67-2701, Idaho Code, and to read as follows:

67-2701. DEPARTMENT OF FINANCE -- CREATION -- DIRECTOR -- ORGANIZATION -- POWERS AND DUTIES. (1) There is hereby created the department of finance. The department shall, for the purposes of section 20, article IV of the constitution of the state of Idaho, be an executive department of state government.

(2) The director of the department of insurance as appointed pursuant to section 41-202, Idaho Code, shall be the director of the department of finance. All responsibilities, powers, and duties of the director of finance shall be conferred to the director of the department of insurance.

(3) Neither the director of the department nor any administrator of a division in the department shall be the owner of or financially interested either directly or indirectly in any banking or insurance corporation subject to the supervision of the department.

(4) The department of finance shall be composed of such divisions as are established by law and such other units as may be administratively established. The director shall appoint division administrators to serve, at the pleasure of the director, to head such divisions as may be established. The director shall, subject to the approval of the governor, fix the salary of each administrator.

(5) The director shall have power:

(a) To exercise the rights, powers and duties vested by law in the department or in the director; and

(b) To execute the laws relating to banks and banking.

(6) The director may utilize or administratively combine the divisions or employees of the department of finance with the department of insurance in order to achieve the duties of either department.

SECTION 4. That Section 41-202, Idaho Code, be, and the same is hereby amended to read as follows:

41-202. DIRECTOR -- APPOINTMENT -- TERM -- QUALIFICATIONS. (1) The director of the department of insurance shall be the chief executive officer of the department of insurance.

(2) The director shall be appointed by the governor and shall hold office for a term of four (4) years, subject to earlier removal by the governor. A vacancy in the office of director shall be filled for the balance of the unexpired term only.

(3) The governor shall not appoint as director any individual, and no individual shall hold the office of director, who is not qualified therefor as follows:

(a) Must be a qualified elector of the state of Idaho; and

(b) Must have had at least five (5) years' practical experience in one or more of the types of insurance business subject to regulation by the director, or have had other professional or business experience reasonably adequate in character and scope to equip him to discharge the duties and fulfill the responsibilities of the office of director.

<u>(4) On and after July 1, 2027, the director shall also be the director of the department of finance pursuant to section 67-2701, Idaho Code.</u>

SECTION 5. That Section 41-206, Idaho Code, be, and the same is hereby amended to read as follows:

41-206. DIVISIONS AND EMPLOYEES. (1) The department shall be organized into such divisions and such other units as may be administratively established in order to efficiently administer the department. Each division shall be headed by a division administrator who shall be appointed by and serve at the pleasure of the director, and shall be a nonclassified employee exempt from the provisions of chapter 53, title 67, Idaho Code.

(2) The director may pursuant to chapter 53, title 67, Idaho Code, appoint, employ, fix the compensation of, prescribe and require the duties of and discharge such employees as the duties of his office may require.

(3) The director may contract for and procure on a basis of fee and without giving such persons any status as an employee of this state, such independently contracting actuarial, technical, examining, and other similar professional services as the director may from time to time require for the discharge of his duties.

(4) On and after July 1, 2027, the director may utilize or administratively combine the divisions or employees of the department of finance with the department of insurance in order to achieve the duties of either department.

SECTION 6. That Section 26-2412, Idaho Code, be, and the same is hereby amended to read as follows:

26-2412. ANNUAL FINANCIAL EXAMINATION. The corporation shall be examined at least once annually by the director of the department of finance and shall make reports of its condition not less than annually to said director of the department of finance and more frequently upon call of the director of the department of finance, who in turn shall make copies of such reports available to ~~the director of the department of insurance and~~ the governor; and the corporation shall also furnish such other information as may from time to time be required by the director of the department of finance and secretary of state. The corporation shall pay the actual cost of said examinations. The director of the department of finance shall exercise the same power and authority over corporations organized under this act as is now exercised over banks and trust companies by the provisions of title 26, Idaho Code, where the provision of title 26, Idaho Code, are not in conflict with this act.

SECTION 7. That Section 28-44-111, Idaho Code, be, and the same is hereby repealed.

SECTION 8. That Section 59-904, Idaho Code, be, and the same is hereby amended to read as follows:

59-904. STATE OFFICES -- VACANCIES, HOW FILLED AND CONFIRMED. (a) All vacancies in any state office, and in the supreme and district courts, unless otherwise provided for by law, shall be filled by appointment by the governor. Appointments to fill vacancies pursuant to this section shall be made as provided in subsections (b), (c), (d), (e), (f) and (g) of this section, subject to the limitations prescribed in those subsections.

(b) Nominations and appointments to fill vacancies occurring in the office of lieutenant governor, state controller, state treasurer, superintendent of public instruction, attorney general and secretary of state shall be made by the governor, subject to the advice and consent of the senate, for the balance of the term of office to which the predecessor of the person appointed was elected.

(c) Nominations and appointments to and vacancies in the following listed offices shall be made or filled by the governor subject to the advice and consent of the senate for the terms prescribed by law, or in case such terms are not prescribed by law, then to serve at the pleasure of the governor:

Director of the department of administration,
~~Director of the department of finance,~~
Director of the department of insurance,
Director, department of agriculture,
Director of the department of water resources,
Director of the Idaho state police,
Director of the department of commerce,
Director of the department of labor,
Director of the department of environmental quality,
Director of the department of juvenile corrections,
Executive director of the commission of pardons and parole,
The state historic preservation officer,
The administrator of the division of human resources,
Member of the state tax commission,
Members of the board of regents of the university of Idaho and the state board of education,
Members of the Idaho water resource board,
Members of the state fish and game commission,
Members of the Idaho transportation board,
Voting members of the state board of health and welfare,
Members of the board of environmental quality,
Members of the board of directors of state parks and recreation,
Members of the board of correction,
Members of the industrial commission,
Members of the Idaho public utilities commission,
Members of the Idaho personnel commission,
Members of the board of directors of the Idaho state retirement system,
Members of the board of directors of the state insurance fund,
Members of the commission of pardons and parole.

(d) Appointments made by the state board of land commissioners to the office of director, department of lands, and appointments to fill vacancies occurring in those offices shall be submitted by the president of the state board of land commissioners to the senate for the advice and consent of the senate in accordance with the procedure prescribed in this section.

(e) Appointments made pursuant to this section while the senate is in session shall be submitted along with the letter of appointment to the senate forthwith for the advice and consent of that body. Appointments made pursuant to this section while the senate is not in session shall be submitted along with the letter of appointment to the senate pursuant to section 67-803, Idaho Code. Should the senate adjourn without granting its consent to an appointment the appointment shall thereupon become void and a vacancy in the office to which the appointment was made shall exist, and the office shall be deemed vacant upon the date of adjournment. It is the duty of the appointing authority to supply the senate with the letter of appointment. The appointee shall supply the senate with the documentation it requests.

All appointments made pursuant to subsection (c) of this section, except those appointments for which a term of office is fixed by law, shall terminate at the expiration of any gubernatorial term. Appointments to fill the vacancies thus created by the expiration of the term of office of the governor shall be forthwith submitted to the senate for the advice and consent of that body, and when so submitted shall be as expeditiously considered as possible.

Upon receipt of an appointment along with the letter of appointment in the senate for the purpose of securing the advice and consent of the senate, the appointment shall be referred by the presiding officer to the appropriate committee of the senate for consideration and report prior to action thereon by the full senate.

(f) Excepting the appointments made pursuant to subsection (c) of this section, whenever an appointee's term has expired as prescribed by law, the governor or the authorized appointing authority must fill the position within twelve (12) months of the expiration of the term. However, an office will be vacant if the governor or the authorized appointing authority: (i) fails to timely appoint a qualified person at the earlier of the time required by law or required in this subsection; or (ii) fails to provide the senate with an appropriate letter or document of appointment by the thirty-sixth legislative day of the subsequent legislative session. All letters or documents of appointment must, as reasonably possible, accompany the additional documentation required by the senate. At the request of the secretary of the senate, the governor or the authorized appointing authority must provide the additional documentation.

(g) It is the intent of the legislature that the provisions of this section as amended by this chapter shall not apply to appointments which have been made prior to the effective date of this chapter. It is the further intent of the legislature that the provisions of this section shall apply to the offices listed in this section and to any office created by law or executive order which succeeds to the powers, duties, responsibilities and authorities of any of the offices listed in subsections (c) and (d) of this section.

SECTION 9. This act shall be in full force and effect on and after July 1, 2027.